Loan sale / transfer memo

Reference	**LP-TRF-L004-W33**	Date	**2026-11-07 (data as of 2023-01-18, week 33)**
To	**Credit Committee and Treasury**	From	**Credit Risk, Banco Demo (fictional)**
Borrower	**Campo Santa Elena S.A. (F004)**	Loan	**L004 · Crop input loan · $105,000**

Proposal to sell or transfer loan L004 ($105,000 outstanding) to a third party at an indicative price of $87,790 to $84,613 (base to adverse expected loss).

1. Why transfer

- Climate stress: level Severe (score 100), expected yield -35% vs normal; Stage 2 (critical climate alert (level Severe)).
- Region concentration: Santa Fe · Centro holds $3,891,100 (12.6% of the book), of which $3,256,100 (84%) is High/Severe. Crop concentration: soy is 52.0% of the book.
- The loan sits in a spatial cluster of 39 stressed loans ($5,771,100, mean score 72, radius 153 km): a regional shock hits them together.
- Weak recovery: collateral warrant on grain $120,500 against EAD $105,000; insurance: none.

2. Provisions and indicative price

Basis	ECL (USD)	Expected loss rate	Indicative price = EAD x (1 - rate)
Bank baseline	$4,338	4.1%	$100,662
Climate: base	$17,210	16.4%	$87,790
Climate: adverse	$20,387	19.4%	$84,613
Climate: severe	$20,387	19.4%	$84,613
Climate: weighted	**$18,481**	**17.6%**	**$86,519**

Price range for negotiation: $84,613 (adverse) to $87,790 (base), i.e. 80.6% to 83.6% of outstanding. A buyer will also require a return on capital and servicing costs, so offers below this range should be expected; the model gives the expected-loss floor, not a market price.

3. Transfer terms

Outstanding principal	**$105,000**	Rate / maturity	**8.91% / 24 Apr 2023**
Collateral	**warrant on grain, $120,500**	Insurance assignment	**none**
Borrower notification	**required before transfer**	Effect on book	**EAD -$105,000; climate-weighted ECL -$18,481**
Loss on sale	**$18,481 at the weighted rate (price $86,519)**		

4. Transfer checklist

- ☐ Credit Committee approval of the sale and of the minimum acceptable price.
- ☐ Legal review: assignability clause, borrower notification, data-protection consent for sharing borrower data.
- ☐ Collateral (warrant on grain) assignment registered in the name of the buyer.

- ☐ Buyer informed that no insurance is in force.
- ☐ Data room: payment history, schedule, climate evidence extract (loan memo), latest field declaration.
- ☐ Derecognition test (IFRS 9 3.2) and accounting entry agreed with Finance.
- ☐ Regulatory notification (central bank debtor classification update) if required.

5. Alternatives considered

Restructuring (extend to next harvest) and offering parametric cover next season keep the client but leave the exposure in the book; they are preferred when the collateral is land-based and the borrower is cooperative.

6. Approval and sign-off

Role	Decision	Name	Signature	Date
Credit officer (preparer)	☐ Approve ☐ Reject			
Credit Committee	☐ Approve ☐ Reject			
Treasury	☐ Approve ☐ Reject			